

MARCHWOOD ASSET MANAGEMENT LLC

1717 Walnut Street, Suite 2200 · Philadelphia, PA 19103

Memorandum

To: R. Achterberg, Branch Chief, Philadelphia Regional Office, U.S. Securities and Exchange Commission

From: M. Vasseur-Kyle, Chief Compliance Officer

Date: October 21, 2013

Re: Application of Marchwood's June 2, 2011 undertaking to the accounts acquired from Hollis Grange Advisers, Inc.

1. Why we are sending this

Marchwood gave the staff an undertaking by letter dated June 2, 2011, in examination 2011-0447. That undertaking is not limited in time and by its terms reaches accounts Marchwood acquires or onboards in the future. No examination is open, the staff has not asked for anything, and Marchwood is under no reporting obligation. We are reporting because the undertaking says we would do this and we have done it.

2. The acquisition

Marchwood acquired the advisory book of Hollis Grange Advisers, Inc. (SEC File No. 801-58832, Doylestown, Pennsylvania). The purchase closed September 30, 2013. Sixty-one client accounts transferred, holding \$12,300,000 at closing.

3. What the diligence found

Finding	Accounts
Held at Hollis Grange's incumbent custodian with a standing fee-debit authorization in favor of the prior adviser	14
Held at the incumbent custodian, billed by client-instructed payment	39
Held at Signal Peak Trust Company already	8
Total	61

The 14 accounts in the first row are the ones the undertaking reaches. The authorization in each was in substantially the form of the Section 6(c) provision the staff identified in Item 4 of the April 20, 2011 deficiency letter, and in each case reached funds and securities generally rather than the advisory fee alone.

4. What we did

1. **All 61 accounts are now held at Signal Peak Trust Company**, under the same custodial agreements as the rest of Marchwood's book, which give Marchwood no authority to withdraw funds or securities. Eight were already there; the other 53 were transferred on October 14, 2013.
2. **The 14 inherited fee-debit authorizations were revoked rather than assigned to Marchwood.** Revocation instructions were delivered to the incumbent custodian on October 7, 2013 and confirmed by the custodian on October 11, 2013. Marchwood at no point held or exercised the authority conferred by any of them.
3. **All 61 clients were re-papered onto Marchwood's standard investment advisory agreement**, from which Section 6(c) was removed in 2011. Executed agreements were received from 58 clients by October 18, 2013; the remaining three are outstanding and those accounts are billed by invoice in the interim.
4. **Quillen and Marsh LLP has been engaged to perform a surprise examination covering calendar year 2013**, on the view that the period between closing on September 30 and the revocation confirmations on October 11 is a period in which Marchwood could be deemed to have had custody. Form ADV-E will be filed within 120 days of the examination date.
5. The transaction and the treatment above were reviewed against the custody procedure adopted in the May 2011 compliance manual, and the acquisition checklist has been amended to make the undertaking an express diligence item on any future purchase.

5. Cost

Marchwood is aware that the surprise examination for an eleven-day exposure is disproportionate to the risk. We have taken the view that the undertaking is not written in terms that let us make that judgment for ourselves.

M. Vasseur-Kyle

Chief Compliance Officer

cc: D. Whitlatch, U.S. Securities and Exchange Commission